

tions as directors/key managerial personnel of ZEEL for “siphoning off funds for their own benefit” and barred them from holding directorships in listed entities. This is significant as Goenka is slated to be the MD & CEO of the merged entity after the Zee-Sony union.

What was the genesis of the problem? For Chandra, now ZEEL’s Chairman Emeritus and Chairman of the Essel Group, an earlier foray into infrastructure led to a highly leveraged balance sheet. Shares of ZEEL were pledged and, over time, his holding in the company dropped. In November 2019, two independent directors—Neharika Vohra and Sunil Kumar—stepped down, with the former, according to Sebi’s order, stating in her resignation letter that, “At the 17 October, 2019 meeting, it was brought to light via a letter received by the board from the concerned bank that guarantees have been given to a subsidiary without approval from the board. The operating team treated the issue very casually.” This relates to a ₹200-crore loan from YES Bank to Essel Green Mobility and associated entities, which was on the basis of a letter of comfort (LoC) from Chandra. The lender (YES Bank) “had adjusted a fixed deposit of ₹200 crore of Zee for meeting the obligations of the seven entities,” (the interim order addresses them as associate entities) towards the bank. Essel Green Mobility is one of the seven; the others are Pan India Infraprojects, Essel Corporate Resources, Essel Utilities Distribution, Essel Business Excellence Services, Pan India



PUNIT GOENKA, MD & CEO, Zee Entertainment Enterprises

THE COMBINED ZEE-SONY ENTITY— THAT PUNIT GOENKA IS SLATED TO LEAD—WOULD HAVE REVENUES OF \$1.79 BILLION, MAKING IT THE SECOND LARGEST ENTERTAINMENT NETWORK IN INDIA

Network Infravest and Living Entertainment Enterprises (*see chart ‘Merry Go Round’*).

But what does Essel Green Mobility do? A credit rating report on the company put out by Acuité Ratings & Research on April 15, 2019, says its business model is mainly divided into two verticals, viz. transport solutions and energy storage. “In transport solutions,

Essel Green Mobility will develop a network of electric three-wheelers (autos) and electric buses by which it will own a fleet of these vehicles. In the energy storage vertical, it plans to manufacture lithium-ion battery cells in collaboration with a global company,” it says.

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